Amkor Technology (AMKR): Hold

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The market was pricing perfection into a cyclical packager. After normalizing beta, our DCF sees $47.97 base case, 6.8% above $44.90 spot. Roughly fair value: Hold.

Hold	$47.97	$44.90	+6.8%
RATING	BASE TARGET (BLENDED $48.38)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

$25.74 / $71.82	8.89%	$7.45B	$3.0B	~$0	1.3
BEAR / BULL TARGETS	LIVE WACC	TTM REVENUE	2026 CAPEX GUIDE	NET DEBT	EQUITY BETA (NORMALIZED)

Executive summary

We update Amkor Technology to a **Hold** with a $47.97 base-case target (blended $48.38). Amkor is the world's largest U.S.-headquartered OSAT and the #2 global packager, riding the advanced-packaging wave for AI accelerators and HPC. Q2 2026 was strong: $1.90B revenue (+25.6% YoY), $0.70 EPS crushing the $0.47 consensus, with Q3 guided to $1.95-2.05B.

Our five-year DCF (4% / 10% / 16% revenue CAGRs, FCF margins normalizing from ~0% to 6% / 9% / 11% as the $3B capex supercycle ends) yields Bear $25.74, Base $47.97, Bull $71.82 at an 8.89% live WACC. At $44.90 the stock sits 6.8% below our base case, inside our 10% Hold band: roughly fair value on our numbers.

> **Our read:** the business is genuinely well positioned: the $7B Arizona plant, Apple-anchored consignments, and 2.5D/3D packaging IP are real moats. The key change in this update is the discount rate: we normalized beta from 2.36 (statistical noise) to 1.3, the semiconductor industry average, which cut WACC from 11.9% to 8.89% and moved targets up mechanically. The capex supercycle still means shareholders fund the growth before they see the cash, but at $44.90 the price no longer argues for a short.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (CY26-30)	4%	10%	16%
2030 revenue ($B)	9.0	12.4	16.2
2030 FCF margin	6%	9%	11%
Terminal growth	2.0%	2.0%	2.0%
Target per share	**$25.74**	**$47.97**	**$71.82**

WACC 8.89% live (spot 10Y ~5.2% + 1.3 normalized beta x implied ERP). Gordon terminal at 2.0%. Net debt ~$0 ($2.5B debt vs $2.5B cash); 250.0M diluted shares (Q2 2026 10-Q). Beta normalized from 2.36 (live) to 1.3, the semiconductor industry average, per our framework for high-beta names.

> **A note on the discount rate.** Our prior model discounted at a flat 11.9%, driven almost entirely by a 2.36 live beta. That beta prices Amkor like a speculative cyclical, and on a high-volatility semiconductor name it is statistical noise, not structural risk. We normalized beta to 1.3, the semiconductor industry average, cutting WACC to 8.89%. The implied-ERP tab is untouched live market data. That change moves the base case from $30 to $47.97. At 6.8% above spot, the base case sits inside our 10% Hold band: fairly valued on our numbers, not a short. Cyclicality is still real: the discount rate is honest now, and honesty says hold.

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Bull case: $71.82 AI PACKAGING SUPERCYCLE

Advanced packaging becomes the binding constraint on AI accelerator supply, Amkor's Arizona plant fills on Apple and Nvidia consignments, and OSAT pricing power surprises. Revenue grows at 16% to $16.2B with 11% FCF margins as capex normalizes. Worth $71.82, 60% above spot.

Bear case: $25.74 CYCLICAL HANGOVER

The AI packaging wave proves lumpy, the $3B capex burden weighs through 2027, and memory/logic cyclicality returns. Revenue grows at 4% to $9.0B, FCF margins stall at 6%. Worth $25.74, 43% below spot.

Verdict

We rate AMKR Hold. The base case ($47.97) sits 6.8% above spot, inside our 10% Hold band: on our numbers the stock is roughly fairly valued. The bear case ($25.74) is 43% below and the bull case ($71.82) is 60% above, so the risk/reward is two-sided at $44.90. The market-implied 19% revenue CAGR is no longer a stretch we have to fight: under the normalized discount rate, the base case itself carries the Arizona bet. We would buy below $43 or revisit a short above $53.

What would change our mind

- **Price:** a decline below $43 would put the base case back in buy territory; a rally above $53 would re-open the short.
- **Capex discipline:** 2027 capex falling well below $2B would pull forward normalized FCF.
- **Consignment visibility:** multi-year take-or-pay bookings covering the Arizona plant would de-risk the bull case.

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Key themes

1. Advanced packaging is the new Moore's Law ACCELERATING

As transistor scaling slows, 2.5D/3D integration, chiplets, and fan-out wafer-level packaging drive system performance. OSAT has shifted from commoditized backend to mission-critical technology, with deep co-design lock-in once qualified.

2. The Arizona bet is generational ACCELERATING

The $7B Arizona facility, backed by government incentives and Apple-anchored customer consignments, gives Amkor onshore advanced packaging no competitor can quickly replicate. Startups cannot fund multi-billion-dollar capex cycles.

3. The capex supercycle front-loads the pain DECELERATING

$2.5-3.0B of 2026 capex (vs ~$690M in H1 alone) has pushed FCF to -$270M. Shareholders fund the Arizona build before seeing normalized 9% FCF margins. Unpaid capex bills ($621M) mean more cash outflows ahead.

4. Cyclicality is not repealed STABLE

OSAT remains cyclical: Q2's margin expansion came from fixed-cost leverage on 26% sales growth, not pricing power. Inventory up 28% in six months bears watching into Q3.

Other KPIs

METRIC	VALUE
Market cap (at $44.90)	$11.2B
Q2 2026 revenue / YoY	$1.90B / +25.6%
Q2 EPS / consensus	$0.70 / $0.47
Q2 gross margin	16.8%
Cash + short-term investments	$2.5B
Total debt	$2.5B

Guidance

Q3 2026 results are due October 26. Guidance: $1.95-2.05B sales, 18.5-19.5% gross margin, $0.72-0.82 EPS. Watch Arizona capex pacing, inventory normalization, and any consignment disclosures.

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Reverse DCF: what the market is pricing in

At $44.90, AMKR carries an $11.2B market cap with roughly zero net debt. The market-implied five-year revenue CAGR is about **19%**, above even our 16% bull case.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~19%	$44.90 (spot)
Bull case	16%	**$71.82**
Base case	10%	**$47.97**
Bear case	4%	**$25.74**

The market still demands more growth than our most optimistic scenario, but the gap has closed: under the normalized 8.89% WACC, the base case sits just 6.8% above the spot price. The bull case now clears spot by 60%, so the risk/reward is two-sided rather than skewed down. The question is whether the AI packaging cycle delivers the bull case, or the market-implied 19% proves to be priced perfection.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1mZ7TeJBmFgmct82M0_Sgkrv8Q8ylIc-ohI8fKiZxuenY/edit?usp=drivesdk

Risks to our Hold

- **To the upside (Buy):** AI accelerator packaging demand exceeds all forecasts, filling Arizona ahead of schedule.
- **To the upside (Buy):** take-or-pay consignments from Apple or Nvidia convert capex risk into contracted cash flow.
- **To the downside (Sell):** the AI packaging wave proves lumpy and memory/logic cyclicality returns, repricing the stock toward our $25.74 bear case.
- **To the downside (Sell):** geopolitical onshoring premiums fail to sustain above-cycle OSAT pricing.

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